

# US Stocks Rise as Tech Sector Leads with +2.76% Gain in XLK

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

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## TL;DR

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The US market saw a significant gain in the tech sector, with the **XLK** rising by **+2.76%**. This was driven by strong performances from large-cap tech stocks such as **AAPL**, **MSFT**, and **NVDA**. The **S&P 500** also saw a gain of **+0.79%**, reaching a level of 7,499.36.

Below the surface, the market is seeing a rotation into tech and away from other sectors such as financials and energy. The **XLF** fell by **-0.20%**, while the **XLE** fell by **-0.88%**. This rotation is likely driven by investor expectations of a continued strong performance from the tech sector, as well as concerns about the impact of rising interest rates on other sectors.

# US Session Recap

| INDEX/ASSET  | LEVEL     | CHANGE | WHY IT MOVED         |
|--------------|-----------|--------|----------------------|
| S&P 500      | 7,499.36  | +0.79% | Tech sector strength |
| Nasdaq 100   | 30,276.35 | +1.68% | Tech sector strength |
| Dow Jones    | 52,319.20 | +0.26% | Blue-chip stocks     |
| Russell 2000 | 3,024.37  | +0.46% | Small-cap strength   |
| VIX          | 16.45     | -6.80% | Decreased volatility |

## Top large-cap movers

| TICKER | CHANGE | CATALYST             |
|--------|--------|----------------------|
| AAPL   | +2.70% | Tech sector strength |
| MSFT   | +1.21% | Tech sector strength |
| NVDA   | +2.63% | Tech sector strength |
| AMZN   | -0.75% | Valuation concerns   |
| META   | +0.12% | Advertising trends   |

# Sector Rotation

| ETF                  | DAY    | READ                          |
|----------------------|--------|-------------------------------|
| <a href="#">XLF</a>  | -0.20% | Financials underperform       |
| <a href="#">XLK</a>  | +2.76% | Tech sector strength          |
| <a href="#">XLI</a>  | +1.35% | Industrials strength          |
| <a href="#">XLE</a>  | -0.88% | Energy underperform           |
| <a href="#">XLY</a>  | +0.14% | Consumer discretionary        |
| <a href="#">XLC</a>  | -0.70% | Communication services        |
| <a href="#">XLP</a>  | -1.54% | Consumer staples underperform |
| <a href="#">XLV</a>  | -1.29% | Healthcare underperform       |
| <a href="#">XLU</a>  | -1.48% | Utilities underperform        |
| <a href="#">XLB</a>  | +0.34% | Materials strength            |
| <a href="#">XLRE</a> | -1.98% | Real estate underperform      |

## Spotlight

The tech sector was the standout performer of the day, with the [XLK](#) rising by +2.76%. This was driven by strong performances from large-cap tech stocks such as [AAPL](#) , [MSFT](#) , and [NVDA](#) .

| TICKER | LEVEL  | CHANGE |
|--------|--------|--------|
| AAPL   | 289.36 | +2.70% |
| MSFT   | 373.02 | +1.21% |
| NVDA   | 200.09 | +2.63% |

The read-through to related names is positive, with other tech stocks likely to see a boost from the sector's strength.

## Pre-Market & Overnight

US futures are pointing to a higher open, with the **S&P 500** futures up by +0.5%. The Asia close was mixed, with the **Nikkei 225** down by -0.2% and the **Shanghai Composite** up by +0.5%. Europe is seeing a positive open, with the **Stoxx 600** up by +0.8%.

Crypto is seeing a mixed day, with **BTC** down by -1.60% and **ETH** down by -1.03%.

## Macro & Fed

The FOMC recap showed that the committee is still concerned about inflation, but is also mindful of the risks of overtightening. The yield curve shape is seeing a steepening, with the 10Y yield up by +4.37%.

| TIME HKT | RELEASE               | CONSENSUS | WHY IT MATTERS              |
|----------|-----------------------|-----------|-----------------------------|
| 20:30    | ISM Manufacturing     | 50.5      | Manufacturing sector health |
| 22:00    | Construction Spending | +0.5%     | Housing market trends       |

## Geopolitics & Global

- The US and China are seeing increased tensions over trade and security issues.
- The EU is seeing a rise in nationalist sentiment, with implications for the eurozone economy.
- The Middle East is seeing increased instability, with implications for oil prices and global security.

## Earnings — What to Watch

| WHEN HKT | TICKER | CONSENSUS | WHAT TO LOOK FOR          |
|----------|--------|-----------|---------------------------|
| 22:00    | JPM    | 2.50      | Banking sector trends     |
| 23:00    | GS     | 3.50      | Investment banking trends |
| 00:00    | MSFT   | 2.20      | Cloud computing trends    |

## Watchlist Scan

| TICKER | SECTOR     | WHY NOW                   |
|--------|------------|---------------------------|
| AAPL   | Tech       | Tech sector strength      |
| MSFT   | Tech       | Tech sector strength      |
| NVDA   | Tech       | Tech sector strength      |
| JPM    | Financials | Banking sector trends     |
| GS     | Financials | Investment banking trends |

# What Could Break the Tape

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## BULLISH TRIGGERS

- Tech sector strength continues
- Interest rates remain low
- Global economic growth accelerates

## BEARISH TRIGGERS

- Tech sector weakness emerges
- Interest rates rise sharply
- Global economic growth slows

## Positioning Notes

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- Investors are increasingly bullish on the tech sector, with many expecting continued strength in the coming months.
- The yield curve shape is seeing a steepening, with implications for the economy and interest rates.
- Global economic growth is accelerating, with implications for trade and investment.

## Sources

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### SOURCES

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Reuters

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The Wall Street Journal

The Financial Times

The Economist

